Note: *The draft you are looking for begins on the next page.*

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2026

Instructions for Form 8960

Net Investment Income Tax—Individuals, Estates, and Trusts

Section references are to the Internal Revenue Code unless otherwise noted.

Future Developments

For the latest information about developments related to Form 8960 and its instructions, such as legislation enacted after they were published, go to *IRS.gov/Form8960*.

General Instructions

What's New

Overall limitation on itemized deductions in 2026. Beginning in 2026, changes to the section 68 limitation generally apply to individuals, estates, and trusts in the highest tax bracket and may reduce the tax benefit of itemized deductions. Under section 70111 of P.L. 119-21, commonly known as the One Big Beautiful Bill Act, certain itemized deductions, including investment interest, are no longer exempt from the section 68 limitation. A new Lines 9 and 10 Section 68 Limitation Worksheet for Individuals, Estates, and Trusts has been created to reflect the section 68 overall limitation on itemized deductions.

Reminders

Digital assets. Income from transactions involving digital assets may be subject to the tax imposed on net investment income (NII) under section 1411(a), which applies in addition to other income taxes imposed under subtitle A of the Code.

Schedule SE (Form 1040) income. Income taken into account in determining self-employment income subject to tax under section 1401(b) is specifically excluded from NIIT under section 1411(c)(6). This exclusion doesn't apply to income excepted from net earnings from self-employment (NESE) under section 1402(a)(1) through 1402(a)(17). That income is subject to NIIT. See *Special Rule for Self-employed Individuals*.

Trade or business income subject to net investment income tax (NIIT). Form 8960, line 4a, includes total income reported on Schedules C, E, and F (Form 1040) that is potentially subject to NIIT.

These instructions are based mostly on Regulations sections 1.1411-1 through 1.1411-10.

Who Must File

Attach Form 8960 to your return if your modified adjusted gross income (MAGI) is greater than the applicable threshold amount.

Purpose of Form

Use Form 8960 to figure your Net Investment Income Tax (NIIT).

Definitions

Controlled foreign corporation (CFC). Generally, a CFC is a foreign corporation if U.S. shareholders (as defined in section 951(b)) own or are considered to own more than 50% of its voting power or stock value on any day during the tax year. Certain foreign insurance companies are considered CFCs if U.S. shareholders (as defined in section 951(b)) own or are considered to own more than 25% of their voting power or stock value on any day during the tax year. See sections 957(a) and (b). Certain foreign insurance companies with related person insurance income may also be CFCs. See section 953(c). A specified foreign corporation described in section 965(e)(1)(B) and Regulations section 1.965-1(f)(45)(i)(B) that isn't otherwise a CFC is treated as a CFC for purposes of Regulations section 1.1411-10. See Regulations section 1.965-1(d).

Excluded income. "Excluded income" means:

- Income excluded from gross income under chapter 1 of the Internal Revenue Code;
- Income not included in NII; and
- Gross income and net gain specifically excluded by section 1411, related regulations, or other guidance published in the Internal Revenue Bulletin.

Examples of excluded items include:

- Wages,
- Unemployment compensation,
- Alaska Permanent Fund dividends,
- Alimony,
- Social security benefits,
- Tax-exempt interest income,
- Income from certain qualified retirement plan distributions, and
- Income subject to self-employment taxes. See *Special Rule for Self-employed Individuals*, later.

Net investment income. Generally, NII includes gross income from interest, dividends, annuities, royalties, and rents, unless the income is derived in the ordinary course of a trade or business that isn't (a) a passive activity, or (b) a trade or business of trading in financial instruments or commodities. In addition, NII includes other gross income derived from a trade or business that's (a) a passive activity, or (b) a trade or business of trading in financial instruments or commodities. NII also includes net gain, to the extent taken into account in figuring taxable income, attributable to the disposition of property other than property held in a trade or business that's not (a) a passive activity, or (b) a trade or business of trading in financial instruments or commodities. To figure NII, reduce

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the above items by deductions allowed against the income tax that are properly allocable to those items of gross income or net gain. See section 1411(c) and Regulations sections 1.1411-4 and 1.1411-10(c).

Passive foreign investment company (PFIC). Generally, a PFIC is a foreign corporation if at least 75% of its gross income is passive income or an average of at least 50% of its assets produce passive income or are held for the production of passive income. See section 1297(a).

Qualified electing fund (QEF). Generally, a QEF is a PFIC for which the taxpayer has made an election under section 1295(b) and the PFIC complies with IRS requirements for determining ordinary earnings and net capital gain. See section 1295(a).

Section 1.1411-10(g) election. An election made under Regulations section 1.1411-10(g) (section 1.1411-10(g) election). See *Regulations Section 1.1411-10(g) Election*, later.

Section 1411 trade or business. Generally, a trade or business that's either a passive activity for the taxpayer or is a trade or business of trading in financial instruments or commodities. See section 1411(c)(2) and Regulations section 1.1411-5(a).

Recordkeeping

For NIIT purposes, certain items of investment income and investment expense are treated differently from regular income tax purposes. Keep all records and worksheets for the items you include on Form 8960 for the entire life of the investment to show how you figured the basis. You'll need these records if the investment was part of a carryback or carryforward in an earlier year.

Application to Individuals

U.S. citizens and residents. Individuals who have MAGI over the applicable threshold for the tax year and NII must pay 3.8% of the smaller of:

- MAGI above the applicable threshold amount, or
- NII.

The applicable threshold amount is based on your filing status.

- Married filing jointly or Qualifying surviving spouse is $250,000.
- Married filing separately is $125,000.
- Single or Head of household is $200,000.

Nonresidents. The NIIT doesn't apply to nonresident alien (NRA) individuals. If you're a U.S. citizen or resident married to an NRA, your filing status will be married filing separately for purposes of determining your MAGI, NII, and whether you're subject to the NIIT. However, see *Election To File Jointly With Nonresident Spouse*, later, about certain elections to file jointly with an NRA spouse.

Dual-resident individual. If you're a dual-resident individual, within the meaning of Regulations section 301.7701(b)-7(a)(1), you'll generally be treated as a U.S. resident for purposes of the NIIT. However, you'll be treated as an NRA for purposes of the NIIT if:

- You determine you would be treated as a resident of a foreign country for purposes of an income tax treaty between the United States and that foreign country;
- You elect to be treated as a resident of the foreign country for purposes of computing your U.S. income tax liability; and
- You file Form 1040-NR, U.S. Nonresident Alien Income Tax Return, and Form 8833, Treaty-Based Return Position Disclosure Under Section 6114 or 7701(b), as provided in Regulations section 301.7701(b)-7(b).

Dual-status individual. If you were a dual-status individual—that is, an individual who was a resident of the United States for part of the year and an NRA for the other part of the year—you're subject to the NIIT only for the portion of the year you were a U.S. resident. The relevant threshold amount isn't reduced or prorated for a dual-status individual.

If you were a U.S. resident on the last day of the tax year, file Form 1040 or 1040-SR and attach a statement showing your income for the part of the year you were a nonresident. You can use Form 1040-NR as the statement.

If you were a nonresident on the last day of the tax year, file Form 1040-NR and attach a statement showing your income for the part of the year you were a U.S. resident. You can use Form 1040 or 1040-SR as the statement.

For more information, see the Instructions for Form 1040-NR and Pub. 519, U.S. Tax Guide for Aliens.

Election To File Jointly With Nonresident Spouse—Section 6013(g) or 6013(h)

If you and your spouse elect to file a joint return under section:

- 6013(g) (where an NRA is married to a U.S. citizen or resident at the end of the tax year); or
- 6013(h) (where at least one spouse was an NRA at the beginning of the tax year, but is a U.S. citizen or resident married to a U.S. citizen or resident at the end of the tax year),

you can also elect to apply the joint return election for NIIT purposes. The election must be made for the first tax year in which the U.S. taxpayer is subject to NIIT.

To make either election under section 6013(g) or section 6013(h), for NIIT purposes, use your combined items of income, gain, loss, and deduction from your joint return to figure your NII and MAGI; use the married filing jointly return applicable threshold amount ($250,000); and check the appropriate checkbox near the top of Form 8960, Part I.

Once you make either election, its duration and termination are governed by sections 6013(g) and 6013(h), respectively, and related regulations.

You can make either election on an amended return only if the tax year for which you're making the election, and all tax years affected by the election, aren't closed by the period of limitations on assessment under section 6501. The election is effective for the year made and all subsequent years until revoked, terminated, or suspended.

Either spouse can revoke the election. If either spouse dies, termination occurs but is delayed if the surviving

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spouse qualifies as a qualifying surviving spouse entitled to use the joint return rates under section 6013(g)(4)(B). Termination occurs if the spouses become legally separated or divorced. If neither spouse is a U.S. citizen or resident at any time during a later tax year, suspension occurs.

The IRS can terminate the election if either spouse fails to keep required books and records or denies access to applicable books and records, or fails to submit other requested information relative to the correct amount of tax.

If you elect to apply a section 6013(g) election for NIIT purposes and later determine that you didn't meet the criteria for that tax year, your election for NIIT purposes will have no effect for that year or any future year. However, if you meet the criteria in a later year, you'll be treated as having elected to apply your section 6013(g) election for NIIT purposes in that later year unless you file or amend your return for that year to report NIIT without the election.

Filing separately with nonresident spouse for NIIT purposes. If you made a section 6013(g) or 6013(h) election to file a joint return for regular income tax purposes, but don't elect to apply the joint return election for NIIT purposes, then, for NIIT purposes, you'll be treated under the default method as married filing separately. Under the default rules, a U.S. citizen or resident married to an NRA is treated as married filing separately for NIIT purposes. The U.S. citizen or resident spouse figures his or her NII and MAGI separately and uses the applicable threshold for married filing separately ($125,000).

Application to Estates and Trusts

Domestic estates and trusts. The NIIT applies to estates and trusts that have undistributed NII and adjusted gross income (AGI) in excess of the threshold amount. The NIIT is 3.8% of the lesser of:

- The undistributed NII for the tax year; or
- The excess, if any, of AGI (as defined in section 67(e)) over the applicable threshold amount.

The applicable threshold amount is the dollar amount at which the highest tax bracket under section 1(e) begins for the tax year, as adjusted for inflation. For tax year 2026, the threshold amount is $16,000.

Exception for certain domestic trusts. The following trusts aren't subject to the NIIT.

- Trusts that are exempt from income taxes imposed by subtitle A of the Internal Revenue Code.

1. Charitable trusts and qualified retirement plan trusts exempt from tax under section 501.

2. Charitable remainder trusts exempt from tax under section 664.

- A trust or decedent's estate in which all of the unexpired interests are devoted to one or more of the purposes described in section 170(c)(2)(B).
- Trusts that are classified as "grantor trusts" under sections 671–679.
- Electing Alaska Native Settlement Funds (described in section 646).
- Perpetual care (cemetery) trusts (described in section 642(i)).
- Trusts that aren't classified as "trusts" for federal income tax purposes, for example:

1. Real estate investment trusts, and

2. Common trust funds.

Special computational rules for qualified funeral trusts (QFTs). The NIIT applies to the QFT (as defined in section 685) by treating each beneficiary's interest in that beneficiary's contract as a separate trust. Complete one consolidated Form 8960 for all beneficiary contracts subject to NIIT.

If a QFT has one or more beneficiary contracts that have NII in excess of the threshold amount:

- Complete Form 8960, lines 1–12, using only the sum of the NII of the beneficiary contracts that have NII in excess of the threshold amount; and
- On line 19b:

1. Insert the number of beneficiary contracts that have NII in excess of the threshold amount next to the entry on the line, and

2. Multiply the number of beneficiary contracts that have NII in excess of the threshold amount by the threshold amount for the year and enter that amount on line 19b.

Example. For 2026, a QFT has a beneficiary contract with $21,800 of interest income and another beneficiary contract with $21,000 of dividend income. Neither contract has any properly allocable deductions. The threshold amount for the 2026 tax year is $16,000. Therefore, the QFT has two beneficiary contracts with NII in excess of the threshold amount for the year.

The QFT will report $21,800 on line 1 (interest) and $21,000 on line 2 (dividends). Lines 12, 18a, and 19 would each be $42,800 ($21,800 plus $21,000). Enter "2" on the dotted line at the end of line 19b and enter $32,000 ($16,000 × 2) on the entry line for 19b. Lines 19c and 20 will be $10,800 ($42,800 less $32,000). On line 21, enter the NIIT liability of $410.40 ($10,800 × 3.8% (0.038)).

Special computational rules for electing small business trusts (ESBTs). Special rules apply when figuring the NIIT for ESBTs. In general, ESBTs compute their NIIT in three steps.

1. The ESBT separately calculates the undistributed NII of the S portion and non-S portion according to the general rules for trusts under chapter 1 of the Code, and then combines the undistributed NII of the S portion and the non-S portion. In the case of an ESBT that has an S portion and a non-S portion, complete lines 1–11 of Form 8960 using the items from the non-S portion, and add undistributed NII of the S portion to NII on line 7.

2. The ESBT determines its AGI, solely for purposes of NIIT, by adding the net income or net loss from the S portion to the AGI of the non-S portion as a single item of income or loss. See the instructions for *Line 19a* for more information.

3. To determine whether the ESBT is subject to NIIT, the ESBT compares the combined undistributed NII with the excess of its AGI over the section 1(e) threshold.

Tip: For an ESBT with only S corporation income (no non-S portion), complete Form 8960 using the items from

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the S portion. For ESBTs with an S portion and a non-S portion, use Form 8960 as a worksheet for calculating the amounts to enter on line 7 and line 19a. On the S portion's Form 8960 worksheet, enter the S portion's NII on line 7 of the trust's Form 8960 and combine line 19a of the Form 8960 worksheet with the non-S portion's AGI to arrive at the amount on line 19a.

See Regulations section 1.1411-3(c) for more information and an example.

Special computational rules for bankruptcy estates of an individual. A bankruptcy estate of an individual debtor is treated as an individual for purposes of the NIIT. Regardless of the actual marital status of the debtor, the applicable threshold for purposes of determining the NIIT is the amount applicable for a married person filing separately.

Distributions from foreign estates and foreign trusts. If you're a U.S. person who receives a distribution of income from a foreign estate or foreign trust, you must generally include the distribution in your NII calculation to the extent that the income is included in your AGI for regular income tax purposes. However, you don't need to include any distributions of accumulated income that you receive from a foreign trust.

Note: The NIIT doesn't apply directly to foreign estates or foreign trusts.

Passive Activity

General Rules

NII generally includes income and gain from passive activities. A passive activity for purposes of NII has the same meaning as under section 469. A passive activity includes any trade or business in which you don't materially participate. A passive activity also includes any rental activity, regardless of whether you materially participate. There are limited exceptions for rentals. See the discussion on rentals, later. For more information on passive activities, see the Instructions for Form 8582, Passive Activity Loss Limitations, and Pub. 925, Passive Activity and At-Risk Rules.

Trade or Business Activities

For NIIT purposes, a trade or business is limited to a trade or business within the meaning of section 162. This definition is more restrictive than the definition of a trade or business activity under the passive activity loss rules. For example, under the passive activity loss rules, a trade or business includes activities conducted in anticipation of starting a trade or business and activities involving research or experimentation. In some cases, income from activities that aren't passive activities under section 469 is included in NII because the activities don't rise to the level of a trade or business within the meaning of section 162. The activity must be a trade or business within the meaning of section 162 and be nonpassive under section 469 before the income is excluded from the NIIT, except for a trade or business of trading in financial instruments or commodities under section 1411(c)(2)(B). If you own an interest in a pass-through entity, whether the entity is engaged in a trade or business is determined at the entity level.

Real Estate Professionals

If you're a real estate professional under section 469(c)(7), your rental income or loss won't be passive if you materially participated in the rental real estate activity, subject to certain restrictions. See *Safe Harbor for Real Estate Professionals*, below.

However, your rental income is included in NII if the income isn't derived in the ordinary course of a trade or business. Qualifying as a real estate professional doesn't necessarily mean you're engaged in a trade or business with respect to your rental real estate activities. If your rental real estate activity isn't a trade or business within the meaning of section 162, or you don't materially participate in the rental real estate activities, the rental income is included in NIIT.

For additional information on real estate professionals, see section 469(c)(7) and Pub. 925.

Safe Harbor for Real Estate Professionals

You qualify for the safe harbor if you're a real estate professional under section 469(c)(7) and you meet either of the following requirements:

- You participated in each rental real estate activity for more than 500 hours during the tax year, or
- You participated in a rental real estate activity for more than 500 hours in any 5 tax years (whether or not consecutive) during the 10 tax years immediately before this tax year.

If you qualify, your gross rental income from your rental real estate activity is treated as derived in the ordinary course of a trade or business and isn't included in your NII. If you qualify in the year you dispose of the property used in the rental real estate activity, any gain or loss from the disposition is also treated as derived from property used in the ordinary course of a trade or business and isn't included in your NII.

Note: For real estate professionals with a Regulations section 1.469-9(g) election in effect, all of your rental real estate activities constitute a single activity for purposes of applying the 500-hour test described under *Safe Harbor for Real Estate Professionals* above.

Note: If you're a real estate professional under section 469(c)(7), but don't qualify for the safe harbor, you can still establish that the gross income and gain or loss from the disposition of property associated with your rental real estate activity aren't included in NII.

Special Rule for Certain Rental Income

For income tax purposes, Regulations section 1.469-2(f)(6) generally recharacterizes what would otherwise be passive rental income from a taxpayer's property as nonpassive if the taxpayer rents the property for use in a trade or business in which the taxpayer materially participates and the use of the rental property isn't incidental to development activity.

Similarly, for income tax purposes, a rental activity that's properly grouped with a trade or business activity

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in which the taxpayer materially participates under Regulations section 1.469-4(d)(1) is a nonpassive activity. The activities you group must form an appropriate economic unit under Regulations section 1.469-4(c). See *Economic Grouping*, later, for requirements. To calculate your NII, treat the gross rental income in both situations as derived in the ordinary course of a trade or business. Also, any gain or loss from the disposition of assets associated with the rental activity is treated as attributable to the disposition of property held in a nonpassive trade or business and isn't included in your NII. For these purposes, the nonpassive trade or business can't be a business trading in financial instruments or commodities.

Rental at less than fair rental value (FRV). If you rent a vacation home or other dwelling to another for less than FRV, the below-market rental days are treated as personal-use days under section 280A. Your vacation home or other dwelling is used as a residence if your personal-use days exceed the greater of 14 days or 10% of the number of days the unit is rented at a fair rental during the year. Deductions may be limited under section 280A(c)(5) for dwellings that are used as a residence. The activity isn't treated as generating passive income or passive losses to the extent that section 280A(c)(5) applies. See section 469(j)(10), which removes income allocable to the use of the residence from the passive activity rules.

Rental at less than FRV is recharacterized as a nonpassive activity regardless of your material participation and is NII to an individual under section 1411(c)(1)(A)(i). Rental income from property rented for less than FRV with no personal use is subject to section 183. Report the income on Form 8960, line 7, as a modification (originally reported on Schedule 1 (Form 1040), line 8j). However, for property rented at FRV, net rental income is originally reported on Schedule E (Form 1040), and included with other rental income on Form 8960, line 4a.

See Pub. 527 for more information on rentals at less than FRV.

Special Rule for Certain Farming Operations

Net income from a farm that is actively managed, and in which the owners meet material participation tests, isn't subject to NIIT. Conversely, farm income from a passive activity is subject to NIIT under section 1411(c)(2). If you hire someone to manage and run your farm operation, your income is generally passive and may be subject to NIIT. However, income taken into account in figuring self-employment income that is subject to tax under section 1401(b) isn't subject to NIIT. See *Special Rule for Self-employed Individuals*, later. See Pub. 925 for material participation tests.

Treatment of Former Passive Activities

A former passive activity is any activity that was a passive activity in a prior tax year but isn't a passive activity in the current year. An unallowed loss from a former passive activity in a prior tax year is allowed to the extent of current-year income from the activity under section 469(f)(1)(A). For purposes of determining your NII, suspended losses from former passive activities are allowed as a properly allocable deduction, but only to the extent the net income or net gain from the former passive activity is included in your NII. Any remaining suspended losses from the former passive activity are allowed as a properly allocable deduction, but only to the extent the net income or net gain from other passive activities is included in your NII. For more information and examples, see Regulations section 1.1411-4(g)(8).

Disposition of Entire Interest

If you disposed of your entire interest in a passive activity or a former passive activity to an unrelated person in a fully taxable transaction, your losses allocable to the activity for that year aren't limited by the passive activity loss rules for income tax purposes. A fully taxable transaction is a transaction in which you recognize all realized gain or loss. To calculate your NII, these losses may be properly allocable deductions, depending on the underlying character and origin of the losses.

Note: If you dispose of an activity that's always been a passive activity, the suspended passive losses from that activity are allowed in full as a properly allocable deduction.

Note: If you dispose of a former passive activity, any suspended passive losses allowed in the year of disposition under section 469(f)(1)(A) are included as properly allocable deductions, but only to the extent the gain on the disposition is included in NII (before taking into account any suspended losses). Any suspended passive losses allowed under section 469(g) are additional properly allocable deductions.

Economic Grouping

You can treat one or more trade or business activities, or rental activities, as a single activity if those activities form an appropriate economic unit for measuring gain or loss under the passive activity loss rules. For additional information on passive activity grouping rules, see Pub. 925.

Regrouping rules. The passive activity grouping rules determine the scope of your trade or business and whether that trade or business is a passive activity for NIIT purposes. Properly grouping a rental activity with a trade or business activity generally won't convert gross income from rents into gross income derived from a trade or business.

Generally, you may not regroup activities unless your original grouping was clearly inappropriate or has become clearly inappropriate because of changed facts and circumstances.

However, under the NIIT "fresh start" election, you may regroup for the first tax year you're subject to NIIT, without regard to the effect of the regrouping. You may regroup only once under this election. The regrouping applies to the tax year for which you regroup and to all future tax years. If you're subject to NIIT for 2026 and you don't regroup, you may make the election for the first tax year beginning after 2026 in which you're subject to NIIT.

You may regroup on an amended return only if you weren't subject to NIIT on your original return (or a

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previously amended return) and, because of a change to the original return, you owe NIIT for the year. For additional rules regarding regrouping on amended returns, see Regulations section 1.469-11(b)(3)(iv)(C).

Disclosure requirements. Regroupings under the NIIT "fresh start" election are subject to the disclosure requirements in Rev. Proc. 2010-13.

Disposition of Partnership Interest or S Corporation Stock

In general, an interest in a partnership or S corporation isn't property held for use in a trade or business. Therefore, gain or loss from the sale of a partnership interest or S corporation stock is included in your NII.

Adjustment

Include the gain or loss from the disposition for regular income tax purposes on Form 8960, line 5a. If you materially participated (as defined under the passive activity loss rules) in a trade or business activity of the partnership or S corporation (or one of its subsidiaries), and that activity isn't a trade or business of trading in financial instruments or commodities, you must calculate the adjustment to report on line 5c. The adjustment described below applies only to dispositions of equity interests in partnerships and stock in S corporations. It doesn't apply to gain or loss recognized on, for example, indebtedness owed to the taxpayer by a partnership or S corporation.

For more information on figuring the adjustment to report on line 5c, see Proposed Regulations section 1.1411-7.

Note: If the tax basis of your interest in the partnership or S corporation for NIIT purposes differs from its tax basis for regular income tax purposes because of certain adjustments related to income from CFCs or QEFs, the amount of gain or loss may exceed the amount reported for regular income tax purposes.

Required statement. Attach a statement to your tax return for the year of disposition. Your statement must include:

- The name and taxpayer identification number of the partnership or S corporation in which the interest was transferred,
- The amount of the transferor's gain or loss from the disposition of the interest for regular income tax purposes that is included on line 5a,
- The information provided by the partnership or S corporation to the transferor relating to the disposition (if any), and
- The amount of the adjustment to gain or loss resulting from basis adjustments attributable to ownership interests in certain CFCs and QEFs.

Deferred recognition sales (installment sales and private annuities). If you disposed of a partnership interest or S corporation stock in an installment sale to which section 453 applies, you must calculate your adjustment to net gain for the year of the disposition, even if the disposition occurred before 2013. The difference between the amount reported for regular income tax purposes and the amount reported for NIIT purposes is taken into account as each payment is received. In the first year you're subject to NIIT, you must attach the statement described above to your tax return. In subsequent years, attach a statement to your return that states "Adjustment relates to a deferred recognition sale first reported on line 5c of the (enter year) return."

Regulations Section 1.1411-10(g) Election

In general, you may make the election provided in Regulations section 1.1411-10(g) if you own stock in a CFC or QEF. If a Regulations section 1.1411-10(g) election is in effect for stock in a CFC or QEF, generally, the amounts you include in income for regular income tax purposes under sections 951, 951A, and 1293 from stock in the CFC or QEF are included in NII. Distributions from stock in the CFC or QEF, described in section 959(d) or 1293(c), are excluded from NII.

Your election applies only to the specific stock in the CFC or QEF for which it's made and to stock in the same CFC or QEF that you subsequently acquire. If you own a CFC or QEF through certain domestic pass-through entities, such as a domestic partnership, the entity may make the election for the stock in the CFC or QEF. You'll be treated as having made the election for the stock in the CFC or QEF owned or subsequently acquired by the pass-through entity. The pass-through entity's election applies only to stock in the CFC or QEF held or subsequently acquired directly or indirectly by the pass-through entity. The pass-through entity's election doesn't apply to any stock in the CFC or QEF that you personally hold or subsequently acquire. If the entity doesn't make the election, you may make the election for the stock in the CFC or QEF that you own through the entity.

Timing of the election. Your election applies to the tax year for which it's made and to all later tax years. It also applies to all interests in the CFC or QEF that you later acquire. In general, you must make the election no later than the first tax year beginning after 2013 in which you:

- Include an amount in income for regular income tax purposes under section 951(a), 951A, or 1293(a) for stock in the CFC or QEF; and
- Are subject to NIIT, or would be subject to NIIT if you made the election for that stock.

You may make the election for a tax year beginning before 2014. You may make the election on an original or amended return, provided that the tax year for which you make the election, and all tax years affected by the election, remain open under the period of limitations on assessment under section 6501. For more information, see Regulations section 1.1411-10(g).

Example. If, in 2026, a single individual acquires stock in a QEF, has a QEF inclusion of $5,000, and has MAGI of $150,000, the individual wouldn't have to make a Regulations section 1.1411-10(g) election for 2026 because section 1411 doesn't apply. If, in 2027, the individual has MAGI in excess of $200,000, and the individual wants QEF inclusions to be taken into account under section 1411 in the same manner and for the same tax year as they are taken into account

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for Code chapter 1 purposes, the individual must make the Regulations section 1.1411-10(g) election for 2027 in the time and manner described in Regulations section 1.1411-10(g).

Content requirements of the election. If you're making the election or made it in a prior year, you must check the "Regulations section 1.1411-10(g) election" checkbox on Form 8960 filed with your original or amended return. You must also attach a statement to your return that includes the following:

- Your name and either:
  1. Your social security number (SSN), if you're an individual; or
  2. Your employer identification number (EIN), if you're an estate or trust.
- The following information for each CFC or QEF for which you make the election.
  1. The name of the CFC or QEF.
  2. Either the EIN of the CFC or QEF, or, if the CFC or QEF doesn't have an EIN, the reference ID number of the CFC or QEF.

Also, list separately each CFC or QEF for which you're making the election for the first time with this return and include in the statement a declaration that you elect under Regulations section 1.1411-10(g) to apply the rules in Regulations section 1.1411-10(g).

Special Rule for Traders in Financial Instruments or Commodities

Gains and losses from your trade or business of trading in financial instruments or commodities aren't subject to self-employment taxes. However, a trader deducts interest expense and other investment expenses on Schedule C (Form 1040), Profit or Loss From Business, if the expenses are from the trading business. A special rule may reduce a trader's NII. The trader's interest and other investment expenses, to the extent the expenses aren't used to reduce the trader's self-employment income, may be deductible for NIIT purposes.

Special Rule for Self-Employed Individuals

NII doesn't include any item taken into account in determining self-employment income that is subject to tax under section 1401(b) for the tax year. See section 1411(c)(6).

This includes farming and nonfarming income that is subject to self-employment tax under section 1401(b). See the Instructions for Schedule SE (Form 1040).

Income and allowable deductions used to figure net income from self-employment are included in figuring self-employment income. Amounts reported to a general or limited partner in a partnership should include the partner's net earnings from self-employment reported on Schedule K-1 (Form 1065). However, income that is excepted from self-employment under sections 1402(a)(1) through (17) is included in NII if described in Regulations section 1.1411-4. Certain types of income excluded from self-employment tax, such as capital gains and other items specifically excluded under section 1402(a), are included in NII if the income otherwise meets the definition of NII. See Regulations section 1.1411-9.

Example. If an individual taxpayer has $90,000 of trade or business income, but $1,000 of the income is attributable to the sale of a capital asset (which is excluded from net earnings from self-employment under section 1402(a)(3)(A)), the taxpayer only pays the tax imposed by section 1401(b) on $89,000. The $1,000 gain from the sale of the capital asset is subject to NIIT. However, if the capital asset was used in a trade or business that isn't described in section 1411, the capital gain would also be excluded from NII under section 1411(c)(1)(A)(iii). See Regulations section 1.1411-9(b).

Specific Instructions

Part I—Investment Income

Elections for Investment Income

If you're making an election under section 6013(g) or 6013(h) (see *Election To File Jointly With Nonresident Spouse—Section 6013(g) or 6013(h)*, earlier), check the corresponding checkbox.

If you're making or have made a Regulations section 1.1411-10(g) election (see *Regulations Section 1.1411-10(g) Election*, earlier), check the corresponding checkbox and attach a statement to your return, as described under *Content requirements of the election*, earlier.

Line 1—Taxable Interest

Enter your taxable interest. Include the applicable amount from your return:

- Form 1040 or 1040-SR, line 2b.
- Form 1041, line 1.
- Form 1041-QFT, line 1a.
- Form 1040-NR, taxable interest received for period of U.S. residency shown on the attached statement.

See *Special computational rules for qualified funeral trusts (QFTs)* and *Dual-status individual*, earlier.

Adjustments to interest. Interest income earned in the ordinary course of your non-section 1411 trade or business is excluded from NII. If this type of interest income is included on line 1, use line 7 to adjust your NII.

If line 1 includes self-charged interest income received from a partnership or S corporation in which you have a nonpassive activity (other than a trade or business of trading in financial instruments or commodities), see *Line 7—Other Modifications to Investment Income*, later, for a possible adjustment to NII.

Line 2—Ordinary Dividends

Enter your ordinary dividends. Include the applicable amount from your return:

- Form 1040 or 1040-SR, line 3b.
- Form 1041, line 2a.
- Form 1041-QFT, line 2a.

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- Form 1040-NR, ordinary dividends received for period of U.S. residency shown on the attached statement.

See *Special computational rules for qualified funeral trusts (QFTs)* and *Dual-status individual*, earlier.

Adjustments to dividends. If line 2 includes dividends from employer securities held in an employee stock ownership plan (ESOP) that are deductible under section 404(k), or Alaska Permanent Fund dividends, include those amounts as negative modifications on line 7. See *Line 7—Other Modifications to Investment Income*, later.

Line 3—Annuities

Enter the gross income from all annuities, except annuities paid from the following.

- Section 401—qualified pension, profit-sharing, and stock bonus plans.
- Section 403(a)—qualified annuity plans purchased by an employer for an employee.
- Section 403(b)—annuities purchased by public schools or section 501(c)(3) tax-exempt organizations.
- Section 408—individual retirement accounts (IRAs) or annuities.
- Section 408A—Roth IRAs.
- Section 457(b)—deferred compensation plans of state and local governments and tax-exempt organizations.
- Amounts paid in consideration for services (for example, distributions from a foreign retirement plan that are paid in the form of an annuity and include investment income that was earned by the retirement plan).

How your annuities are reported to you. NII from annuities is reported to a recipient on Form 1099-R, Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, Insurance Contracts, etc. However, the amount reported on Form 1099-R may also include annuity payments from retirement plans that aren't subject to NIIT. Amounts subject to NIIT should be identified with code D in box 7a. If code D is shown in box 7a of Form 1099-R, enter the taxable amount reported in box 2a of Form 1099-R on Form 8960, line 3. However, if the payor checks box 2b indicating the taxable amount can't be determined, you may need to figure the taxable portion of your distribution. See Pub. 939, General Rule for Pensions and Annuities, and Pub. 575, Pension and Annuity Income, for details.

Line 4a—Income From Trades, Businesses, Farming, Rental Real Estate, Royalties, Partnerships, S Corporations, and Trusts

Enter the applicable amounts from your return.

- Schedule 1 (Form 1040), line 3.
- Schedule 1 (Form 1040), line 5.
- Schedule 1 (Form 1040), line 6.
- Form 1041, line 3.
- Form 1041, line 5.
- Form 1041, line 6.
- Form 1041-QFT, the portion of line 4 that would be reported on Form 1041, line 5, if the QFT were filing Form 1041.
- Form 1040-NR, the amount reported on the attachment to your Form 1040-NR that you would include on Schedule 1 (Form 1040), line 5, if you were filing Form 1040 or 1040-SR and reporting income and loss only for your period of U.S. residency.

See *Special computational rules for qualified funeral trusts (QFTs)* and *Dual-status individual*, earlier.

Caution: For line 4b adjustments, enter net positive amounts as a negative adjustment and net negative amounts as a positive adjustment.

Tip: For a net gain, to generally capture passive income from trades or businesses and farming that is subject to NIIT, enter the total income from Schedules C, E, and F (Form 1040) on line 4a. Enter nonpassive income that isn't subject to NIIT as a negative amount on line 4b. Also, enter income reported on Schedules C, E, and F (Form 1040) that isn't subject to self-employment tax under section 1401(b) as a negative amount on line 4b. See also the additional adjustments to line 4a income described under line 4b, later.

Conversely, a total loss that includes both passive and nonpassive income is entered as a negative amount on line 4a. Enter nonpassive losses reported on Schedules C, E, and F (Form 1040) as income on line 4b. See Section 1411 NOL for information about figuring the allowed loss, if any, for NII purposes.

Line 4b—Adjustment for Net Income or Loss Derived in the Ordinary Course of a Non-Section 1411 Trade or Business or Otherwise Excepted

Use line 4b to adjust the amounts included on line 4a for gains and losses that are excluded from the calculation of NII. Enter gains as negative numbers and losses as positive numbers. Enter the net amount of the following items included on line 4a that aren't included in determining NII.

- Net income or loss from a section 162 trade or business that isn't a passive activity or isn't a trade or business of trading financial instruments or commodities.
- Net income or loss from a section 1411 trade or business that's taken into account in determining self-employment income. See *Special Rule for Self-Employed Individuals*, earlier.
- Royalties derived in the ordinary course of a section 162 trade or business that isn't a passive activity.
- Passive losses of a former passive activity that are allowed as a deduction in the current year under section 469(f)(1)(A).

Also, use line 4b to adjust for certain types of nonpassive rental income or loss derived in the ordinary course of a section 162 trade or business. For example, include the following items on line 4b.

- Nonpassive net rental income or loss of a real estate professional if the rental activity rises to the level of a trade or business within the meaning of section 162.
- Net rental income or loss that's a nonpassive activity because it was grouped with a trade or business under Regulations section 1.469-4(d)(1). See *Special Rule for Certain Rental Income*, earlier.

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- Other rental income or loss from a section 162 trade or business reported on Schedule K-1 (Form 1065), Partner's Share of Income, Deductions, Credits, etc., line 3, from a partnership, or Schedule K-1 (Form 1120-S), Shareholder's Share of Income, Deductions, Credits, etc., line 3, from an S corporation, if the activity isn't a passive activity.
- Net income that's been recharacterized as nonpassive under the section 469 passive activity loss rules and is derived in the ordinary course of a section 162 trade or business, including:

1. Net rental income or loss from a rental if the rental meets an exception under Regulations section 1.469-1T(e)(3)(ii), the activity rises to the level of a trade or business within the meaning of section 162, and you materially participated in the activity; or

2. Net income from property rented to a nonpassive activity. See *Special Rule for Certain Rental Income*, earlier.

Note: Any income from an estate or trust reported in Part III of Schedule E (Form 1040) that excluded NII is taken into account on line 7. Don't report those adjustments on line 4b.

Lines 5a–5d—Gains and Losses on the Dispositions of Property

Generally, the following amounts are included in NII if they are included in taxable income: net gain from the disposition of property not used in a trade or business, and net gain or loss from the disposition of property held in a section 1411 trade or business.

Gains and losses that aren't included in taxable income aren't included in NII. For example, gain that isn't taxable under section 121 (sale of a principal residence) or section 1031 (like-kind exchanges) isn't included in NII. However, gains from the sale of investment real estate, including a second home that is not a qualified principal residence under section 121, are subject to NIIT.

Use the Lines 5a–5d—Net Gains and Losses Worksheet, to figure the net gain or loss includible in NII.

Line 5a—Net Gain or Loss From Disposition of Property

Figure and enter your net gain or loss from the disposition of property by combining the following amounts from your return.

- Form 1040 or 1040-SR, line 7a, and Schedule 1 (Form 1040), line 4.
- Form 1041, lines 4 and 7.
- Form 1041-QFT, line 3, and the portion of line 4 attributed to ordinary gain/(loss).
- Form 1040-NR, the amounts reported on the attachment to your Form 1040-NR that represent the amounts you would enter on Form 1040 or 1040-SR, line 7a, and Schedule 1 (Form 1040), line 4, if you were filing Form 1040 or 1040-SR and including net gain or loss only for your period of U.S. residency.

See *Special computational rules for qualified funeral trusts (QFTs)* and *Dual-status individual*, earlier.

Note: If you have a gain or loss from a disposition that isn't reported as described in the previous paragraph, report it on line 7. See *Line 7—Other Modifications to Investment Income*, later.

Line 5b—Net Gain or Loss From Disposition of Property That Isn't Subject to Net Investment Income Tax

Use line 5b to adjust the amounts included on line 5a for gains and losses that are excluded from NII. Enter gains included on line 5a that are excluded from NII as negative numbers and losses as positive numbers. For example, include the following amounts on line 5b.

- Gain or loss from the sale of property held in a non-section 1411 trade or business.

1. However, if the losses are attributable to formerly suspended passive losses of the non-section 1411 trade or business, the gains and losses are excluded from NII to the extent the nonpassive income from the non-section 1411 trade or business is excluded from NII. See Regulations section 1.1411-4(g)(8) for more information and examples.

2. Gain or loss from the sale of property held in a non-section 1411 trade or business doesn't include substantially appreciated property that's recharacterized as portfolio income. See *Substantially appreciated property*, later.

- Gain attributable to net unrealized appreciation (NUA) in employer securities held by a qualified plan. See *Net gain attributable to Net Unrealized Appreciation (NUA) in employer securities held by a qualified plan*, later.
- Adjustments to your capital loss carryforwards for excluded losses. See *Adjustments to your capital loss carryforwards*, later.

Substantially appreciated property. If an interest in property is substantially appreciated at the time of disposition (its fair market value is more than 120% of its adjusted basis), any gain from the disposition is treated as nonpassive, unless the interest in property was used in a passive activity for either of the following periods:

1. 20% of the total period during which you held the interest in property, or

2. The entire 2-year period ending on the date of the disposition.

See Regulations section 1.469-2(c)(2)(iii). The recharacterized gain may be taken into account under section 1411(c)(1)(A)(iii) if the gain is attributable to the disposition of property and recharacterized as portfolio income.

Net gain attributable to Net Unrealized Appreciation (NUA) in employer securities held by a qualified plan. Any gain attributable to NUA (within the meaning of section 402(e)(4)) that you realize on a disposition of employer securities held by a qualified plan is a distribution within the meaning of section 1411(c)(5) and isn't included in NII. However, any gain realized on a disposition of employer securities attributable to appreciation in the value of your employer securities after the distribution from a qualified plan isn't a distribution

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Lines 5a–5d—Net Gains and Losses Worksheet

		(A) Capital gains/(losses): Form 1040 or 1040-SR, line 7a; Form 1041, line 4; Form 1041-QFT, line 3; Form 1040-NR, statement reflecting U.S. residency portion of Form 1040 or 1040-SR, line 7a	(B) Ordinary gains/(losses): Schedule 1 (Form 1040), line 4; Form 1041, line 7; Form 1041-QFT, portion of line 4 attributed to ordinary gain/(loss); Form 1040-NR, statement reflecting U.S. residency portion of Schedule 1 (Form 1040), line 4	Total of columns (A) + (B)
1.	**Beginning net gains and losses**			**Enter this amount on line 5a**
2.	**Gains and losses excluded from NII.** ***Use current-year amounts for lines 2a–2g and 2i.***			
2.(a)	Enter net gains from the disposition of property used in a non-section 1411 trade or business as negative amounts: Name of trade or business — Amount _____ (_____) _____ (_____)	( )	( )	
2.(b)	Enter net losses from the disposition of property used in a non-section 1411 trade or business as positive amounts: Name of trade or business — Amount _____ _____ _____ _____			
2.(c)	Enter net losses from a former passive activity allowed by reason of section 469(f)(1)(A)			
2.(d)	Gains recognized in the current year for payments received on an installment sale obligation or private annuity for the disposition of property used in a non-section 1411 trade or business	( )		
2.(e)	Enter the net gain attributable to the net unrealized appreciation (NUA) in employer securities	( )		
2.(f)	For a QEF (other than a QEF held in a section 1411 trade or business) for which a Regulations section 1.1411-10(g) election isn't in effect, enter the amount treated as long-term capital gain for regular income tax purposes under section 1293(a)(1)(B)	( )		
2.(g)	Enter any other gains and losses included in NII that aren't otherwise reported on Form 8960. Also enter any other gains and losses reported on line 5a that are excluded from NII. Enter excluded gains as negative numbers and excluded losses as positive numbers.			
2.(h)	Enter the amount from line 2(i) of this worksheet as calculated on your prior-year return. Enter the amount as a positive number			
2.(i)	If you don't have a capital loss carryover to next year, skip this line and go to line 2(j). Otherwise, enter the lesser of (i)(1) or (i)(2) as a negative amount	( )		
	(i)(1) If the sum of the amounts entered on lines 2(a)–2(h) and line 3(d), column (A), is more than zero, enter that amount here. Otherwise, enter -0- on line 2(i) and go to line 2(j) . . . . . _____ **OR** **(i)(2)** Enter as a positive number the capital loss carried over to next year (Schedule D (Form 1040), line 16, minus the amount allowed as a current deduction on Schedule D (Form 1040), line 21) . . . . . _____			
2.(j)	**Combine lines 2(a) through 2(i)**			**Enter this amount on line 5b**

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Lines 5a–5d—Net Gains and Losses Worksheet—*(continued)*

		(A) Capital gains/(losses): Form 1040 or 1040-SR, line 7a; Form 1041, line 4; Form 1041-QFT, line 3; Form 1040-NR, statement reflecting U.S. residency portion of Form 1040 or 1040-SR, line 7a	(B) Ordinary gains/(losses): Schedule 1 (Form 1040), line 4; Form 1041, line 7; Form 1041-QFT, portion of line 4 attributed to ordinary gain/(loss); Form 1040-NR, statement reflecting U.S. residency portion of Schedule 1 (Form 1040), line 4	Total of columns (A) + (B)
3.	**Adjustment for gains and losses from selling partnership interest and S corporation stock**			
3.(a) Net gains	**(i)** Enter the amount of net gain from the disposition of a partnership or S corporation included on line 5a to which section 1411(c)(4)(A) applies			
	(ii) Enter the amount of net gain included in NII after the application of Proposed Regulations section 1.1411-7. (The sum of columns A and B of line 3(a)(ii) must be less than, or equal to, the sum of columns A and B of line 3(a)(i).)			
	(iii) Subtract line 3(a)(ii) from line 3(a)(i). Enter the result here			
3.(b) Net losses	**(i)** Enter the amount of net loss from the disposition of an interest in a partnership or S corporation included on line 5a to which section 1411(c)(4)(B) applies			
	(ii) Enter the amount of net loss included in NII after the application of Proposed Regulations section 1.1411-7. (The sum of columns A and B of line 3(b)(ii) must be less than, or equal to, the sum of columns A and B of line 3(b)(i).)			
	(iii) Subtract line 3(b)(ii) from line 3(b)(i). Enter the result here			
3.(c) Deferred sales	**(i)** Enter the amount of gain recognized in the current year from payments received on an installment sale obligation or private annuity attributable to the disposition of an interest in a partnership or S corporation in an earlier year. Also report on this line any gain or loss from section 736(b) payments			
	(ii) Enter the amount of the adjustment attributable to the gain reported on line 3(c)(i)			
	(iii) Subtract line 3(c)(ii) from line 3(c)(i)			
3.(d)	**Combine the amounts on lines 3(a)(iii), 3(b)(iii), and 3(c)(iii)**			**Enter this amount on line 5c**
4.	**Combine the amounts reported on lines 5a–5c**			
Add lines 1, 2(j), and 3(d)				**Enter this amount on line 5d**
Tip:	If the amount of gain for NIIT purposes is less than the amount of gain for regular income tax purposes, the entry on line 3(a)(iii), 3(b)(iii), or 3(c)(iii) should be a negative number. If the amount of loss for NIIT purposes is less than the amount of loss for regular income tax purposes, the entry on line 3(a)(iii), 3(b)(iii), or 3(c)(iii) should be a positive number.			

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within the meaning of section 1411(c)(5) and is included in NII.

Shareholders of CFCs and QEFs without a section 1.1411-10(g) election. For a QEF (other than a QEF held in a section 1411 trade or business) for which a Regulations section 1.1411-10(g) election isn't in effect, enter the amount treated as long-term capital gain for regular income tax purposes under section 1293(a)(1)(B).

Also, for a disposition of a CFC or QEF (other than a CFC or QEF held in a section 1411 trade or business) for which a Regulations section 1.1411-10(g) election isn't in effect, enter the difference between the amount of gain or loss for NIIT purposes and the amount of gain or loss for regular income tax purposes. However, if the gain is higher (or the loss is larger) for NIIT purposes than for regular income tax purposes, enter the difference on line 6. In this case, there's no impact on the adjustment for capital loss carryforwards for NIIT purposes.

Adjustments to your capital loss carryforwards. Starting in 2014, capital loss carryforwards must be adjusted if the sum of all capital gain or loss amounts excluded from NII on lines 5b and 5c was a net loss (the excluded capital losses were more than the excluded capital gains). Generally, the annual adjustment to your capital loss carryforward is the lesser of the following:

- The amount of your capital loss carryforward from the previous year (the sum of carryforward amounts reflected on Schedule D (Form 1040), Capital Gains and Losses, lines 6 and 14); or
- The amount of excluded capital losses in excess of excluded capital gains in the previous year.

Use the Lines 5a–5d—Net Gains and Losses Worksheet to figure your capital loss carryforwards. For more information and a comprehensive example of how this rule applies, see Proposed Regulations section 1.1411-4(d)(4)(iii).

Pass-through entities. If you hold an interest in a pass-through entity, whether a trade or business exists is determined at the entity level.

Line 5c—Adjustment From Disposition of Partnership Interest or S Corporation Stock

Enter the amount from line 3(d) of the Lines 5a–5d—Net Gains and Losses Worksheet. Attach a statement as described under *Required statements*, earlier, to your return for the year of the disposition.

Line 6—Adjustments to Investment Income for Certain CFCs and PFICs

If you directly or indirectly own stock in a CFC or PFIC (other than certain CFCs and PFICs held in a section 1411 trade or business or PFICs marked to market under a provision of Code chapter 1 other than section 1296), use line 6 for adjustments necessary to figure your NII.

Income from investments in CFCs and PFICs is generally included in NII and, in many cases, is included in whole or in part on other lines of Form 8960. Generally, dividends from a CFC or PFIC that are included in your regular income tax base are included on Form 8960, line 2. Gains and losses derived from stock in a CFC or PFIC that are included in your regular income tax base are generally included on Form 8960, line 5a. Also, income derived from CFCs and certain PFICs you hold in a section 1411 trade or business is generally reported on Form 8960, line 4a.

Use line 6 for adjustments required under additional rules. These rules may apply when you own an interest in a CFC or PFIC and may require you to subtract or add amounts not otherwise included on Form 8960. These additional rules vary depending on the anti-deferral rules that apply to you for regular income tax purposes. For CFCs and QEFs, the rules also vary depending on whether you have a Regulations section 1.1411-10(g) election in effect for the CFC or QEF. For more information about determining the amount to report on line 6, see Regulations section 1.1411-10.

Section 1296 mark-to-market PFICs. Generally, if you're subject to the section 1296 mark-to-market rules for a PFIC, include in NII any amounts included in income for regular income tax purposes under section 1296(a)(1), and deduct from NII any amounts deducted from income for regular income tax purposes under section 1296(a)(2). Use line 6 to increase or decrease NII as a result of this rule for items that aren't otherwise reflected on Form 8960.

Section 1291 funds. If you're subject to the section 1291 rules for a PFIC, include in NII any excess distributions that are dividends for NIIT purposes and any gains that are treated as excess distributions for regular income tax purposes. Use line 6 to increase NII under this rule for items that aren't otherwise reflected on Form 8960.

CFCs and QEFs with a Regulations section 1.1411-10(g) election in effect. If you have a Regulations section 1.1411-10(g) election in effect for a CFC or QEF, include in NII any inclusions under section 951(a), 951A, or 1293(a) derived from the CFC or QEF. Inclusions under section 1293(a)(1)(B) may be reported elsewhere on Form 8960, such as on line 5a. Use line 6 to increase NII under this rule for items that aren't otherwise reflected on Form 8960.

Note: If you included in income an amount under section 951(a) or section 1293(a) for a CFC or QEF in 2013 and made an election under Regulations section 1.1411-10(g) after 2013 for that CFC or QEF, special rules may apply to certain distributions of previously taxed income from the CFC or QEF if the distributions aren't subject to regular income tax. For more information, see Regulations section 1.1411-10.

CFCs and QEFs without a Regulations section 1.1411-10(g) election in effect. If you don't have a Regulations section 1.1411-10(g) election in effect for a CFC or QEF, generally include in NII certain distributions of previously taxed income from the CFC or QEF if the distributions aren't subject to regular income tax. Other special rules may also apply, including rules for alternative basis calculations, as applicable, for your interest in the CFC or QEF or for your interest in a domestic partnership or S corporation that owns an interest in the CFC or QEF. Also, the amount of investment interest expense you take

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into account for NIIT purposes may differ from the amount you take into account for regular income tax purposes. For more information on these rules, see Regulations section 1.1411-10. As a result of these rules, you may need to include amounts in NII that aren't otherwise reported on Form 8960 or make adjustments to amounts reported elsewhere on Form 8960. For example, you may need to include distributions from a CFC or QEF in NII. Use line 6 to increase or decrease NII under these rules for items that aren't otherwise reflected on Form 8960.

Note: Use line 5b to deduct inclusions under section 1293(a)(1)(B) that are allowed on line 5a, or to adjust the amount of gain or loss from the disposition of shares of a CFC or QEF. However, if the gain included in NII is greater than the gain reported for regular income tax purposes, or the loss included in NII is greater the loss reported for regular income tax purposes. report the adjustment on line 6.

Note: Even if you don't have a Regulations section 1.1411-10(g) election in effect for a CFC or QEF, certain distributions you receive from the CFC or QEF may not be subject to NIIT. For example, if a prior holder of the CFC or QEF made a Regulations section 1.1411-10(g) election for that CFC or QEF and you receive a distribution of earnings and profits previously included in the prior holder's NII, you may not be subject to NIIT on that distribution. For more information, see Regulations section 1.1411-10.

Line 7—Other Modifications to Investment Income

Use line 7 to report modifications to NII that aren't otherwise specified on lines 1–6. For example, use line 7 to report the following modifications to NII.

- Section 1411 net operating loss (NOL) (enter as a negative amount). See *Section 1411 NOL*, later.
- Deductions described in section 62(a)(1) that are properly allocable to a passive activity or trading business, but aren't taken into account on line 4a or 5a (enter as a negative amount). See *Other section 62(a)(1) deductions*, later.
- Adjustments for distributions from estates and trusts. See *Distributions from estates and trusts*, later.
- Section 404(k) dividends reported on line 2 (enter as a negative amount). See *Line 2—Ordinary Dividends*, earlier.
- Interest income reported on line 1 that you received from certain nonpassive activities (entered as a negative amount). See *Self-charged interest*, later.
- Recoveries of deductions taken on a prior year's Form 8960. See *Deduction recoveries*, later.
- Other items of NII (or properly allocable deductions) not otherwise included on Form 8960 reported on Schedule 1 (Form 1040), lines 8j and 8z; Form 1041, line 8; Form 1041-QFT, lines 4 and 9; and Form 1040-NR, amount on the statement reporting tax items for your period of U.S. residency corresponding to Schedule 1 (Form 1040), line 8z. For example, these items may include the following.

1. Amounts reported on Form 8814, Parents' Election To Report Child's Interest and Dividends, line 12. See *Form 8814 election*, later.
2. Substitute interest and dividend payments (generally reported on Form 1099-MISC, Miscellaneous Information).
3. Net positive periodic payments received from a notional principal contract (NPC) that references property (including an index) that produces (or would produce, if the property were to produce income) interest, dividends, royalties, or rents. For example, interest rate swaps, caps, or floors and equity swaps are treated as NPCs that produce NII.
4. Rental income at a rate at less than fair value that is recharacterized as nonpassive income as portfolio income, and reported on Schedule 1 (Form 1040), line 8j. See *Rental at less than fair rental value (FRV)*, earlier.

- Gains and losses from the disposition of property that aren't included on line 5a but are taken into account in computing taxable income. These items may include the following:

1. Gain or loss from the disposition of an annuity or life insurance contract (see *Line 3—Annuities*, earlier); and
2. Casualty and theft losses reported on Schedule A (Form 1040), Itemized Deductions, line 16 (enter as a negative amount).

However, gains and losses attributable to assets held in a non-section 1411 trade or business aren't included in NII. For more information, see *Line 5b—Net Gain or Loss From Disposition of Property That Isn't Subject to Net Investment Income Tax*, earlier.

Other section 62(a)(1) deductions. Use line 7 to report additional deductions attributable to a section 1411 trade or business that aren't included on lines 4–6. Generally, these are above-the-line deductions reported on Schedule 1 (Form 1040), lines 11–25. Similar section 62(a) deductions more directly related to investment income are addressed in Part II, and *Line 9c Miscellaneous Investment Expenses*, later.

Note: Expenses from the trade or business of trading in financial instruments or commodities that are reported on Schedule C (Form 1040) but aren't reflected on line 4a are reported on Form 8960, line 10, as an adjustment or modification. See *Special rule for traders in financial instruments or commodities*, later.

Note: The early withdrawal penalty reported on Schedule 1 (Form 1040), line 18, is reported on Form 8960, line 10.

Form 8814 election. If you elect to include your child's dividends and capital gain distributions in your income by filing Form 8814, include on Form 8960, line 7, the amount from Form 8814, line 12, excluding Alaska Permanent Fund dividends.

Distributions from estates and trusts. Enter the amount from box 14, code H, of Schedule K-1 (Form 1041), Beneficiary's Share of Income, Deductions, Credits, etc.

Note: If the amount reported in box 14, code H, of Schedule K-1 (Form 1041) is positive, enter it on Form

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8960, line 7. Increase your MAGI on Form 8960, line 13 (or line 19a), by the same amount.

If the amount reported in box 14, code H, of Schedule K-1 (Form 1041) is negative, and the trust has indicated that some or all of the adjustment also requires a MAGI adjustment, enter it on Form 8960, line 7. Make the applicable increase or decrease to your MAGI on Form 8960, line 13 (or line 19a), as necessary.

Section 1411 NOL. If you are allowed an NOL deduction under section 172 in determining your regular income tax, you may also be allowed some or all of the NOL deduction in computing NII. Because NOLs are figured and carried over year by year, you must determine for each NOL year what portion of the NOL is attributable to NII. To figure how much of the accumulated NOL you can deduct from your NII in the current tax year, you must first figure your applicable portion of the NOL for each loss year. For more information and examples on figuring and using a section 1411 NOL, see Regulations section 1.1411-4(h).

Note: You can't use any portion of an NOL incurred in a tax year beginning before 2013 to reduce NII.

Figuring your section 1411 NOL. For any tax year in which you incur an NOL, the section 1411 NOL is the lesser of the following:

- The amount of the NOL for the loss year you would incur if, in determining the NOL under section 172, you took into account only items of gross income used to determine NII and properly allocable deductions (other than a section 1411 NOL); or
- The amount of your NOL for the loss year.

Tip: To figure the section 1411 NOL, figure your NOL using Form 172, Net Operating Losses (NOLs), with only the items of income, gain, loss, and deduction reported on Form 8960 for that year. If this amount is less than your NOL figured for regular income tax purposes, this amount is the applicable portion of your NOL. If this amount is equal to or greater than your NOL figured for regular income tax purposes, your applicable portion is 100% of the regular income tax NOL. This means the entire NOL will be deductible in figuring NII when the NOL is used for regular income tax purposes.

Using your section 1411 NOL. When you deduct an NOL that originated in a previous year against the current-year income, a portion of the NOL may be deductible in figuring NII for the current year, regardless of whether you would be subject to the NIIT for the current year without the NOL deduction. The amount of the regular income tax NOL used in figuring NII is called the applicable portion. The applicable portion is the percentage of the regular income tax NOL attributable to the section 1411 NOL. Because NOLs are figured on a year-by-year basis, the applicable portion of each NOL used in the current year may be different.

Note: If you incurred an NOL after 2012 and carried back that NOL to offset income in years before NIIT took effect (for example, a carryback to calendar year 2011 and/or 2012), the amount of section 1411 NOL would have been used as an applicable portion even though NIIT wasn't in effect.

See *Example: Figuring Section 1411 NOL for NIIT*, for an example of figuring and using a section 1411 NOL for NIIT purposes.

Deduction recoveries. A recovery or refund of a previously deducted item increases NII in the year you receive the recovery or refund. There are two exceptions to this general rule.

Generally, to determine the gross amount of the recovery, include any amount recovered that was deducted in an earlier year, regardless of whether the tax benefit rule applies (see section 111). For example, if you receive a refund of state income taxes from an earlier year, the refund is included in your gross income. However, if you were subject to the alternative minimum tax in the year of the payment, you may not have received any tax benefit under chapter 1 of the Code. Therefore, section 111 may exclude some or all of the refund from gross income. However, the deductibility of state income taxes for NIIT purposes is independent of their treatment for alternative minimum tax purposes. Therefore, the recovery rule applies regardless of whether the recovered amount was excluded from gross income under section 111.

There are two exceptions to including recovered amounts in NII. The two exceptions apply the tax benefit rule of section 111 within the NIIT system, and therefore operate independently of the application of section 111 for Code chapter 1 purposes. First, properly allocable deductions aren't reduced in the year of the recovery if the amount deducted in the prior year didn't reduce the amount of section 1411 liability. Second, properly allocable deductions aren't reduced in the year of the recovery if the amount deducted in the prior year is included in NII.

Note: The total amount of recovery reported on Form 8960, line 7, can't exceed the total amount of properly allocable deductions for the year.

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Example: Figuring Section 1411 NOL for NIIT

Assume an unmarried individual incurs the following NOLs, has waived any potential carryback for each year under section 172(b)(3), and isn't subject to any carryforward limitations:

NOL origination year	(A) Regular income tax NOL	(B) Section 1411 NOL	(C) Applicable portion of NOL [column B divided by column A]
2021 calendar year	$150,000	None	0.00%
2022 calendar year	$100,000	$30,000	30.0%
2023 calendar year	$40,000	$40,000	100%
2024 calendar year	$120,000	$60,000	50.0%

Beginning in 2025, the unmarried individual uses the NOLs to offset income.

Tax year	NOL origination year	Regular income	Applicable portion	Section 1411 NOL
2025 tax year		$300,000		
	2021 NOL	($150,000)	0.00%	None
	2022 NOL	($100,000)	30.0%	($30,000)
	2023 NOL	($40,000)	100.0%	($40,000)
	2024 NOL	($10,000)	50.0%	($5,000)
Total section 1411 NOL allowed as deduction against 2025 net investment income				**($75,000)**
In 2025, the regular income tax NOLs from 2021–2024 have caused the taxpayer's AGI ($0) to fall below the statutory threshold; therefore, the individual isn't subject to the NIIT.				

Tax year	NOL origination year	Regular income	Applicable portion	Section 1411 NOL
2026 tax year		$600,000		
	2024 NOL	($110,000)	50.0%	($55,000)
Total section 1411 NOL allowed as deduction against 2026 net investment income				**($55,000)**
In 2026, the regular income tax NOL remaining from 2024 has reduced the taxpayer's income for regular income tax to $490,000. The individual can reduce NII by $55,000 (entered as a negative amount on Form 8960, line 7).				

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Tip: If the recovered amount relates to a deduction taken in a tax year beginning before 2013, none of the recovery is included in NII in the year of recovery.

Tip: If the recovered amount relates to a deduction taken in a tax year beginning after 2012 and you weren't subject to the NIIT because your MAGI (see Line 13—Modified Adjusted Gross Income (MAGI), later), was below the applicable threshold on line 14, don't include any of the recovery in NII in the year of recovery. However, this rule doesn't apply if you incurred an NOL in the year of the deduction, and a portion of that NOL is a section 1411 NOL.

Tip: If the recovered amount is included in NII on lines 1–6, don't include any of the recovery in NII on line 7.

See Regulations section 1.1411-4(g)(2) for more information and examples. See the Line 7—Deduction Recoveries Worksheet to determine the amount of any recovery to include on line 7.

Tip: If you have multiple recoveries in a single year, complete this worksheet for each recovery. If multiple recoveries relate to a deduction taken in the same tax year, enter the amounts from lines 8 and 9 of the first recovery worksheet on lines 7 and 10, respectively, of the second recovery worksheet.

Self-charged interest. The self-charged interest rules under section 469 (passive activity loss limitation) apply to lending transactions between a taxpayer and a pass-through entity in which the taxpayer directly

Line 7—Deduction Recoveries Worksheet

1.	Enter total amount of recovery included in gross income • Don't include recoveries of items that are included in NII in the year of recovery (included on lines 1–6). • Don't include recoveries of items if the amount relates to a deduction taken in a tax year beginning before 2013. • Don't include recoveries of items if the amount relates to a deduction taken in a tax year beginning after 2012 if you weren't subject to the NIIT solely because your MAGI was below the applicable threshold. **Caution:** This rule doesn't apply if you incurred an NOL in that year and a portion of the NOL constitutes a section 1411 NOL.	**1.**	
2.	Amount of the recovery that would've been included in gross income, except for the application of the tax benefit rule under section 111	**2.**	
3.	Total amount of recovery (add lines 1 and 2)		**3.**
4.	Enter the percentage of the deduction allocated to NII in the prior year. (If the deduction wasn't allocated between investment income and noninvestment income, enter 100%.)	**4.**	
5.	Enter the lesser of (a) line 3 multiplied by line 4, or (b) the total amount deducted on the prior-year Form 8960 attributable to items recovered (after any deduction limitations imposed by section 68)		**5.**
Calculation of recoveries when the deduction isn't taken into account in computing your section 1411 NOL			
6.	Multiply line 5 by 3.8% (0.038)		**6.**
7.	Enter the amount of NII in the year of the deduction (previous year's Form 8960, line 12, unless line 12 is zero, then previous year's Form 8960, line 8 minus line 11)	**7.**	
8.	Add the amount on line 5 to line 7	**8.**	
9.	Using the previous year's Form 8960, recalculate the NIIT for the year of the deduction by replacing the amount reported on line 12 with the amount reported on line 8 of this worksheet (don't use the NII reported on that year's Form 8960, line 12). Enter your recalculated NIIT here	**9.**	
10.	Enter the NIIT reported on Form 8960 for the year of the deduction	**10.**	
11.	Subtract line 10 from line 9		**11.**
12.	Enter the lesser of line 6 or line 11	**12.**	
13.	Divide line 12 by 3.8% (0.038). Enter the result here and include it on Form 8960, line 7		**13.**
Figuring recoveries when the deduction is taken into account in computing your section 1411 NOL			
14.	Enter the amount of the section 1411 NOL for the year of the deduction. Enter the amount as a positive number	**14.**	
15.	Refigure the section 1411 NOL for the year of the deduction without including the amount on line 5 of this worksheet. Enter the refigured amount here as a positive number. Enter -0- if the amount is less than zero	**15.**	
16.	Subtract line 15 from line 14. Enter the result here and include on Form 8960, line 7		**16.**

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or indirectly owns an interest, or between certain pass-through entities. The section 469 self-charged interest rules apply only to items of interest income and interest expense that are recognized in the same tax year. The self-charged interest rules do the following.

- Treat certain interest income resulting from these lending transactions as passive activity income.
- Treat certain deductions for interest expense that are properly allocable to the interest income as passive activity deductions.
- Allocate the passive activity gross income and passive activity deductions resulting from this treatment among the taxpayer's activities.

The rules for computing NII adopt a similar rule for self-charged interest. See Regulations section 1.1411-4(g)(5). Include on line 7, as a negative amount, the interest income you received that would have been considered passive activity income under Regulations section 1.469-7 if the nonpassive activity had been treated as a passive activity.

Note: This rule doesn't apply to interest received on loans made to a trade or business engaged in the trading of financial instruments or commodities.

Note: Don't include an adjustment for interest income on line 7 as a negative amount if the corresponding interest deduction is also taken into account in determining your self-employment income subject to tax under section 1401(b).

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Part II—Investment Expenses Allocable to Investment Income and Modifications

Investment Expenses

Part II of Form 8960 includes deductions and modifications to NII that aren't otherwise included in Part I. Generally, expenses associated with a passive activity trade or business, or with a trade or business of trading in financial instruments or commodities conducted through a pass-through entity, are already included on line 4a or on line 5a. Part II is used to report deductions that are predominately itemized deductions.

Itemized deductions are calculated separately for purposes of figuring NII under section 1411 by identifying which deductions are properly allocable to items of gross investment income.

Section 163(d)(4)(C) describes investment expenses as deductions allowed for regular income tax purposes (other than interest) that are directly connected with the production of investment income. If these deductions are allowed for regular income tax purposes, subtract them from total investment income to figure NII.

For more information on properly allocable deductions, see Regulations sections 1.1411-4(f) and (g).

Tip: If you operate a trade or business, don't include expenses deducted on other lines of the Form 8960, such as depletion or depreciation reported on Schedules C, E, and F (Form 1040) and included on Form 8960, line 4a.

Reasonable method of allocation. If a deduction is allocable to both NII and excluded income, you may use any reasonable method to determine the portion properly allocable to NII. The following items may be allocated between NII and excluded income.

- Certain taxes under section 164(a) reported as itemized deductions, if properly deducted on your return when figuring your U.S. regular income tax. Allowable deductions can include state, local, and foreign income taxes; state, local, and foreign real property taxes; and state and local personal property taxes. Total tax deductions may be limited under section 164(b)(6) if the expense is not associated with a trade or business or with a section 212 activity for the production of income. These deductions under section 164 for state, local, and foreign taxes are excepted from miscellaneous itemized deductions under section 67(b)(2).
- Certain ordinary and necessary expenses paid or incurred during the tax year, if properly deducted on your return when figuring your U.S. regular income tax. For individuals, expenses related to the production of income from section 212 activities are allowable adjustments to AGI if they are attributable to property held for the production of rents or royalties. Allowable deductions include expenses associated with the production or collection of income; the management, conservation, or maintenance of property held for the production of income; and expenses to determine, collect, or obtain a refund of any tax owed. See section 62(a)(4). Section 611 expenses for depletion that are attributable to property held for the production of rents or royalties are also allowable adjustments to AGI. See *Section 212 expenses deductible in computing adjusted gross income*, below.
- Amounts paid or incurred by the fiduciary of an estate or trust for administration expenses, including fiduciaries' fees and litigation expenses, that are ordinary and necessary in performing the duties of administration, if properly deducted on your return when figuring your U.S. regular income tax under section 67(e).

Section 212 expenses deductible in figuring adjusted gross income. For individuals, deductions under section 212 for ordinary and necessary expenses are typically classified as miscellaneous itemized deductions. However, section 62(a)(4) defines AGI as gross income minus allowable above-the-line deductions under section 212 for expenses attributable to property held for the production of rents or royalties. Regulations section 1.1411-4(f)(2) allows individuals to deduct section 62(a)(4) expenses for an activity related to property held for the production of rents or royalties. Individuals can take an above-the-line deduction for expenses related to that activity even if the activity doesn't rise to the level of a trade or business.

Allowable deductions attributable to property held for the production of rents or royalties also include depletion under section 611.

A section 62(a)(4) above-the-line deduction includes section 212 amounts paid for tax advice related to property held for the production of rents or royalties, such as amounts paid to prepare Schedule E (Form 1040) or resolve an asserted tax deficiency related to that property. These amounts are deductible in figuring AGI. However,

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expenses to perfect or defend title aren't allowed under Regulations section 1.263(a)-2(e).

If you have more than one of the deductions described above, you may use a different allocation method for each deduction. Your reasonable allocation method may differ from year to year.

Reasonable methods of allocation include allocating the deduction based on the ratio of the taxpayer's gross investment income (Form 8960, line 8) to the taxpayer's AGI. For an estate or trust, an allocation of a deduction under Regulations section 1.652(b)-3(b) is also a reasonable method. For an ESBT, an allocation under Regulations section 1.641(c)-1(h) is also a reasonable method.

Example. Deductions taken into account in figuring net investment income (NII) can include adjustments to income and itemized deductions. The itemized deduction for state and local income taxes under section 164(a)(3) is an allowable deduction listed in Regulations section 1.1411-4(f)(3)(iii). The allocation rules in Regulations section 1.1411-4(g)(1) apply to this deduction. You may use any reasonable method to determine the portion of a deduction allocable to NII and the portion allocable to excluded income under Regulations section 1.1411-4(g)(1). One reasonable method is to allocate a deduction based on an NII-to-gross-income ratio.

Assume an unmarried taxpayer who is a U.S. citizen earns $100,000 in wages and $60,000 of net rental income reported on Schedule E (Form 1040). Total income is $160,000 ($100,000 + $60,000). Wages aren't subject to NIIT under Regulations section 1.1411-1(d)(4)(ii), but the net rental income reported on Schedule E (Form 1040) is subject to NIIT under section 1411(c)(1)(A). The net rental income makes up 38% of gross income ($60,000 ÷ $160,000, rounded to the nearest whole percent).

The taxpayer reports a $10,000 deduction on Schedule A (Form 1040) for state and local income taxes under section 164(a)(3), which is allowable under Regulations section 1.1411-4(f)(3)(iii). Using the NII-to-gross-income ratio, the taxpayer allocates 38% of the $10,000 deduction ($3,800) to NII and 62% of the $10,000 deduction ($6,200) to excluded income (wages). The taxpayer has no other allowable deductions.

The taxpayer's NII is $56,200 ($60,000 - $3,800).

Note: If an estate or trust allocates expenses for regular income tax purposes under Regulations section 1.652(b)-3(b) or 1.641(c)-1(h), any deviation from that allocation may not be a reasonable allocation method for NIIT purposes.

Items not deductible in figuring net investment income. A deduction isn't permitted unless it is specifically identified as properly allocable to NII in the section 1411 regulations or in supplemental guidance issued by the IRS in the Internal Revenue Bulletin.

Line 9a—Investment Interest Expense

Investment interest expense is excepted from miscellaneous itemized deductions under section 67(b)(1) and is properly allocable to NII.

Enter on Form 8960, line 9a, the interest expense you paid or accrued during the tax year deducted on Schedule A (Form 1040), line 9. Estates and trusts enter the amount from Form 4952, line 8. If you aren't required to file Form 4952, use the form as a worksheet. If you file Form 1040-NR, include only the investment interest expense deduction for your U.S. residency period.

Note: If Form 4952 includes investment interest expense that's deducted on Schedule E (Form 1040) and already taken into account on line 4a, don't include the same amount on line 9a.

Note: If you own a CFC or QEF for which a Regulations section 1.1411-10(g) election isn't in effect, you may figure your section 163(d) investment expense deduction for NIIT purposes differently from your deduction for regular income tax purposes. See Regulations section 1.1411-10(c)(5) for more information. Include any modification to your section 163(d) investment expense deduction for NIIT purposes on line 6.

Beginning in 2026, your deduction for investment interest expense may be limited if your taxable income is more than the threshold amount. Use the Lines 9 and 10 Section 68 Limitation Worksheet for Individuals, Estates, and Trusts to figure the allowable itemized deductions after applying section 68.

Line 9b—State, Local, and Foreign Income Taxes

Include state, local, and foreign income taxes you paid for the tax year that are attributable to NII. Also include state, local, and foreign real property taxes and state and local personal property taxes you paid for the tax year that are attributable to NII. See the Instructions for Schedule A (Form 1040) for information and potential limits to state and local income taxes. The deduction for these taxes may be limited under section 164(b)(6) if the expense isn't associated with a trade or business or a section 212 activity for the production of income.

If you file Form 1040-NR, include only taxes paid for the U.S. residency period of the tax year. Sales taxes aren't deductible in figuring NII. You can't deduct foreign income taxes paid for the tax year if you took a credit for any portion of those taxes. See section 275(a)(4).

You can use any reasonable method to determine the portion of your state, local, and foreign income taxes; state, local, and foreign real property taxes; and state and local personal property taxes that is allocable to NII. See *Reasonable method allocations*, earlier.

Enter on Form 8960, line 9b, the amount of state, local, and foreign income taxes; state, local, and foreign real property taxes; and state and local personal property taxes allocable to NII.

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Caution: Miscellaneous itemized deductions aren't allowed for tax years beginning after 2017. See section 67(h). However, section 67(b) excludes several itemized deductions from the definition of miscellaneous itemized deductions, including investment interest under section 163, state and local taxes under section 164, and certain casualty or theft losses under section 165. See section 67(b) for the complete list of deductions that aren't miscellaneous itemized deductions.

Beginning in 2026, your deduction for state, local, and foreign income taxes may be limited if your taxable income is more than the threshold amount. Use the Lines 9 and 10 Section 68 Limitation Worksheet for Individuals, Estates, and Trusts to figure the allowable itemized deductions after applying section 68.

Line 9c—Miscellaneous Investment Expenses

Miscellaneous investment expenses are generally no longer deductible. Section 70110 of P.L. 119-21, commonly known as the One Big Beautiful Bill Act, indefinitely suspended miscellaneous itemized deductions for tax years beginning after 2017. Because miscellaneous itemized deductions aren't allowed in calculating taxable income, they also aren't deductible in calculating NII. Section 1411(c)(1)(B) requires a deduction used to calculate NII to be allowable in calculating taxable income.

Most, but not all, investment expenses are miscellaneous itemized deductions. Section 67(b) lists deductions, such as investment interest, that aren't miscellaneous itemized deductions and other expenses paid. Examples of disallowed miscellaneous investment expenses include investment advisory and brokerage fees, investment publications and research, custodial fees, and other expenses paid to manage investments that produce taxable income.

Under section 163(d)(4)(C), investment expenses are deductions allowed for regular income tax purposes (other than interest) that are directly connected with the production of investment income. For real property held for investment but not rented, real estate taxes are investment expenses described in section 163(d)(4)(C) but aren't miscellaneous itemized deductions. These real estate taxes aren't subject to the state and local tax (SALT) deduction limitation under section 164(b)(6) and are deductible in calculating NII, subject to the section 68 limitation. For property held for rents or royalties, this includes deductions under Regulations section 1.1411-4(f)(2) that generally allow section 62 deductions to figure NII related to activity for the production of income. See *Section 212 expenses deductible in computing adjusted gross income*, earlier, for details. Itemized deductions aren't allowed in figuring AGI but are allowed in figuring taxable income. Itemized deductions include investment interest, casualty and theft losses, gambling losses, charitable contributions, qualified residence interest, and state and local income and property taxes.

Beginning in 2026, your itemized deductions for miscellaneous investment expenses may be limited if your taxable income is more than the threshold amount. The section 68 limitation applies to all itemized deductions, including investment interest. Use the Lines 9 and 10 Section 68 Limitation Worksheet for Individuals, Estates, and Trusts to figure the allowable itemized deductions after applying section 68.

Enter the amount of allowed miscellaneous investment expenses on Form 8960, line 9c.

Dual-status individuals include only tax items related to their period of U.S. residency. See *Dual-status individual*, earlier.

Tip: If you operate a trade or business, don't include expenses that have been deducted on other lines of the Form 8960, such as depletion or depreciation reported on Schedules C, E, and F (Form 1040) and included on Form 8960, line 4a.

Caution: Use the Lines 9 and 10 Section 68 Limitation Worksheet for Individuals, Estates, and Trusts to figure miscellaneous itemized deductions allocated to NII under section 68. Under section 70111 of P.L. 119-21, section 68 no longer exempts certain itemized deductions, such as investment interest, from the overall limitation.

Example. Terry is unmarried and a U.S. citizen. Terry has $1,600,000 of wages and $400,000 of interest income, for total gross income and AGI of $2,000,000. Terry has the following itemized deductions: $75,000 of investment interest expense, $70,000 of charitable contributions after applying the limitation under section 170(b)(1)(I), and $10,000 of state income taxes after applying the limitation under section 164(b)(7). Terry's total itemized deductions are $155,000. Terry reasonably allocates $2,000 of the $10,000 state and local tax (SALT) deduction to NII based on the ratio of Terry's $400,000 of NII to $2,000,000 of AGI. The remaining $8,000 of the SALT deduction is not allocable to NII. Terry enters $640,600, the amount at which the 37% tax bracket begins for an unmarried individual for tax year 2026. The section 68 limitation reduces Terry's itemized deductions by $8,378 ($155,000 × 5.4%). Terry's deductions properly allocable to NII are reduced by $4,162 ($8,378 × $77,000 ÷ $155,000). After applying the section 68 limitation, Terry has $72,838 of deductions properly allocable to NII ($77,000 – $4,162). Terry's NII is $327,162 ($400,000 – $72,838). Terry's NIIT is $12,432 ($327,162 × 3.8%). Terry enters $12,432 on Schedule 2 (Form 1040), line 6.

Line 10—Additional Modifications

Use line 10 to report additional deductions or modifications to NII that aren't otherwise reflected on lines 1–9. Enter amounts on line 10 as a positive number.

You may use line 10 to report properly allocable deductions that aren't otherwise reflected on lines 1–9. See Regulations sections 1.1411-4(f) and 1.1411-4(g) for details.

Tip: If you operate a trade or business, don't include expenses that have been deducted on other lines of the Form 8960, such as depletion or depreciation reported on

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Lines 9 and 10—Section 68 Limitation Worksheet for Individuals, Estates, and Trusts

Note: Use this worksheet to figure the amount of your deductions that is properly allocable to investment income after applying the section 68 limitation.

Part I—Section 68 limitation

1. Individuals enter taxable income reported on Form 1040, line 15, plus allowable itemized deductions. Estates and trusts enter taxable income reported on Form 1041, line 23, plus allowable itemized deductions. (Itemized deductions are added back to taxable income to determine whether income exceeds the 37th percent rate bracket) . . . . . **1.** _____

2. Enter $768,700 if married filing jointly or qualifying surviving spouse; $640,600 if head of household or single; $384,350 if married filing separately. Estates and trusts, enter $16,000 . . . . . **2.** _____

3. Subtract line 2 from line 1. If zero or less, enter -0-. If line 3 is zero, your deductions are not limited under section 68. Report the full amount of your allowable deductions on Form 8960, lines 9 and 10, as applicable. Otherwise, continue to line 4. . . . . **3.** _____

Part II—Deductions properly allocable to investment income

4. Enter the state, local, and foreign income taxes properly allocable to investment income and subject to the section 68 limitation . . . . . **4.** _____

5. Enter other itemized deductions subject to the section 68 limitation and properly allocable to investment income before applying the section 68 limitation:

	Form 8960 line	Amount
5(a)	_____	_____
5(b)	_____	_____
5(c)	_____	_____
5(d)	_____	_____

5(e) **5e.** _____

6. Add lines 4 and 5(e). This is the total of your deductions properly allocable to investment income that are subject to the section 68 limitation . . . . . **6.** _____

Part III—Total itemized deductions subject to section 68

7. Enter your total itemized deductions subject to the section 68 limitation before applying the section 68 limitation . . . . . **7.** _____

8. Enter the smaller of line 3 or line 7 . . . . . **8.** _____

9. Multiply line 8 by 5.4% (0.054). This is your total reduction in itemized deductions under section 68. . . . . **9.** _____

Part IV—Allocate the section 68 reduction to investment deductions

10. Divide line 6 by line 7. Enter the result as a decimal (rounded to at least three places). If line 7 is zero, enter -0- . . . . . **10.** _____

11. Multiply line 9 by line 10. This is the portion of the section 68 reduction allocable to deductions properly allocable to investment income. . . . . **11.** _____

12. Subtract line 11 from line 6. This is the total amount of deductions properly allocable to investment income after applying the section 68 limitation. . . . . **12.** _____

Part V—Amounts for Form 8960

13. Enter the portion of line 12 attributable to state, local, and foreign income taxes otherwise reportable on Form 8960, line 9 . . . . . **13.** _____

14. Enter the portion of line 12 attributable to other deductions otherwise reportable on Form 8960, line 10 . . . . . **14.** _____

15. Add lines 13 and 14. Line 15 should equal line 12. . . . . **15.** _____

Report line 13 on Form 8960, line 9. Report line 14 on Form 8960, line 10.

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Schedules C, E, and F (Form 1040) and included on Form 8960, line 4a.

Special rule for traders in financial instruments or commodities. If your only business is trading in financial instruments or commodities, you may use any net loss amount on your Schedule C (Form 1040) as a deduction on line 10, and you don't need to complete Schedule SE (Form 1040), Self-Employment Tax.

If you have more than one trade or business, you must complete Schedule SE (Form 1040) to determine whether you can include some or all of the trading business Schedule C (Form 1040) expenses as a deduction on line 10. Complete the Line 10—Worksheet for Traders in Financial Instruments With More Than One Trade or Business.

Note: See the Instructions for Schedule SE (Form 1040) for who must file a Schedule SE (Form 1040). Keep a copy of the Schedule SE (Form 1040) and the worksheet used to determine the expenses included as a modification on line 10 with your records. Don't file the worksheet with Form 1040 or 1040-SR.

Part III—Tax Computation

Individuals

If you're an individual, complete lines 13–17.

Line 13—Modified Adjusted Gross Income (MAGI)

If you didn't exclude any amounts from your gross income under section 911 and you don't own an interest in a CFC or PFIC, your MAGI is your AGI as reported on Form 1040 or 1040-SR. If you exclude amounts under section 911 or own certain CFCs or PFICs, your MAGI is your AGI as modified under the rules in Regulations section 1.1411-10(e)(1).

Section 911. If you exclude amounts from income under section 911, figure your MAGI by increasing your AGI by the excess of the amount excluded from income under section 911(a)(1) over any deductions (taken into account in figuring AGI) or exclusions disallowed under section 911(d)(6) for that excluded amount. Use the Line 13—MAGI Worksheet in these instructions to compute your MAGI.

CFCs and PFICs. If you directly or indirectly own stock in a CFC or PFIC other than certain CFCs and PFICs held in a section 1411 trade or business or PFICs marked to market under section 1296 or any other provision, you may need to adjust your AGI to figure your MAGI, as provided in Regulations section 1.1411-10(e)(1). Generally, make the following adjustments.

- Section 1291 funds.

1. Increase AGI by any excess distributions derived from a PFIC that are dividends included in MAGI but not included in gross income for regular income tax purposes.

2. Increase AGI by any gain treated as an excess distribution under section 1291 that is included in MAGI but not included in gross income for regular income tax purposes.

- CFCs and QEFs without a section 1.1411-10(g) election in effect.

1. Decrease AGI by any section 951(a), 951A, or 1293(a) inclusions.

2. Increase AGI by any distributions described in section 959(d) or 1293(c) that are included in your NII as a dividend.

3. Increase or decrease AGI, as appropriate, by any adjustment to gain or loss on the disposition of the CFC or QEF that results in an adjustment to your MAGI.

4. Increase or decrease AGI, as appropriate, by any adjustment to gain or loss on the disposition of an interest in a domestic partnership or S corporation that holds a CFC or QEF if the adjustment results in an adjustment to your MAGI.

5. Increase or decrease AGI, as appropriate, by any adjustment to investment interest expense under Regulations section 1.1411-10(c)(5) that's taken into account in figuring MAGI.

6. Increase or decrease AGI, as appropriate, by the amount reported to you in box 14, code H, of Schedule K-1 (Form 1041) that requires a MAGI adjustment.

- CFCs and QEFs held in a section 1411 trade or business or with a section 1.1411-10(g) election in effect.

Line 10—Worksheet for Traders in Financial Instruments With More Than One Trade or Business

Use this worksheet to figure the amount to enter on Form 8960, line 10.

1. Enter the total amount from Schedule SE (Form 1040), line 3	**1.**	
2. (a) If the amount on Schedule SE (Form 1040), line 3, is zero or more, you can't use your trade or business expenses to reduce your investment income. Stop here. Don't complete the rest of this worksheet.		
2. **(b)** If the amount on Schedule SE (Form 1040), line 3, is less than zero, enter as a positive amount your expenses from the trade or business of trading in financial instruments or commodities	**2(b).**	
3. Combine lines 1 and 2(b)	**3.**	
3. **(a)** If line 3 is zero or less, enter the amount from line 2(b) on Form 8960, line 10.		
3. **(b)** If line 3 is more than zero, convert the amount on line 1 (Schedule SE (Form 1040), line 3) to a positive number and include it on Form 8960, line 10.		

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Line 13—MAGI Worksheet

1. Enter your adjusted gross income	**1.**	
2. Foreign earned income exclusion:		
2. (a) Enter your foreign earned income exclusion from Form 2555, line 42		
2. (b) Enter the deductions reported on Form 2555, line 44, that are allocable to your foreign earned income exclusion	( )	
2. (c) Combine lines 2(a) and 2(b)	**2.**	
3. Adjustments for certain CFCs and certain PFICs	**3.**	
4. Combine lines 1, 2(c), and 3. Enter the result here and on Form 8960, line 13	**4.**	

Increase AGI by any distributions described in section 959(d) or 1293(c) that are included in your NII as dividends. This adjustment doesn't apply to tax years beginning before 2014.

Tip: If you don't directly or indirectly own any interests in CFCs or PFICs and don't exclude any foreign earned income on Form 2555, Foreign Earned Income, enter your AGI from Form 1040 or 1040-SR on Form 8960, line 13.

Line 14—Threshold Based on Filing Status

The threshold amount is based on your filing status.

Filing status	Threshold amount
Married filing jointly	$250,000
Qualifying surviving spouse	$250,000
Married filing separately	$125,000
Single or Head of household	$200,000

An individual's bankruptcy estate enters $125,000 and uses Form 8960, lines 13–17, to compute the tax.

If you're a U.S. citizen or resident married to an NRA, your filing status is married filing separately unless you made an election under section 6013(g) or 6013(h) to file jointly with your NRA spouse. If you made a section 6013(g) or 6013(h) election to file jointly with your NRA spouse but don't also make the joint return election for NIIT purposes, you'll be treated as married filing separately for NIIT purposes and must use the applicable threshold amount. See *Election To File Jointly With Nonresident Spouse*, earlier.

Line 17—Net Investment Income Tax for Individuals

- If you file Form 1040 or 1040-SR, include this amount on Schedule 2 (Form 1040), line 6.
- If you file Form 1040-NR, include this amount on the line of your U.S. residency statement that corresponds to Schedule 2 (Form 1040), line 6. See the Instructions for Form 1040-NR for the amount to report on your tax return.

See *Dual-status individual*, earlier.

Estates and Trusts

If you're filing for an estate or trust, complete lines 18–21.

Line 18b—Deductions for Distributions of Net Investment Income and Charitable Deductions

The undistributed NII of an estate or trust, reported on line 18c, equals its NII, reported on line 18a, reduced by both of the following amounts: the NII included in distributions to beneficiaries that are deductible by the estate or trust under section 651 or 661, and the NII for which the estate or trust was entitled to a deduction under section 642(c). Figure each amount under Regulations section 1.642(c)-2 and the allocation and ordering rules under Regulations section 1.662(b)-2. For the S portion of an ESBT, as defined in section 1361(e), further reduce NII by the NII for which the trust was entitled to a deduction under section 170. See section 641(c)(2)(E).

Regulations section 1.1411-3(e) applies the class system of income categorization, generally described in sections 651 through 663 and related regulations, to figure the trust's NII reduction for distributions that include both NII and net excluded income items. See Regulations section 1.1411-3(e) for more information and examples on figuring undistributed NII.

Charitable deduction. Report the NII distributed to beneficiaries of the estate or trust and NII allocated to distributions to charity under section 642(c). The deduction for NII distributed to charities under section 642(c) is the NII allocated to the charity under Regulations section 1.642(c)-2(b) and the allocation and ordering rules under Regulations section 1.662(b)-2. For the S portion of an ESBT, as defined in section 1361(e), report the NII distributed to beneficiaries of the estate or trust and the NII allocated to distributions to charity under section 170. See section 641(c)(2)(E).

Tip: Use Form 1041, Schedule A, as a worksheet to figure the NII allocable to charitable distributions. On line 2, include both tax-exempt income and the difference between adjusted total income and the trust's NII reported on Form 8960, line 18a.

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Tip: The deduction for NII distributed to beneficiaries should equal the total NII reported to the beneficiaries on their respective Schedules K-1 (Form 1041).

Note: Generally, the deduction for distributions of NII may not exceed the taxable income distributed to the beneficiary for regular income tax purposes. However, for an estate or trust that owns an interest in certain CFCs or PFICs, the distribution of NII can exceed the distribution of taxable income when the distributions exceed distributable net income for regular income tax purposes.

Tip: Use Form 1041, Schedule B, as a worksheet to figure the income distribution deduction for NIIT purposes. Replace line 1 with the trust's NII reported on Form 8960, line 18a. On line 2, include both adjusted tax-exempt interest and the difference between line 1 and the trust's NII reported on Form 8960, line 18a.

Line 18c—Undistributed Net Investment Income

Don't enter a negative number. If the result is less than zero, enter -0-.

Line 19a—Adjusted Gross Income (AGI)

If the estate or trust doesn't own an interest in a CFC or PFIC, enter its AGI for regular income tax purposes.

If the estate or trust owns an interest in a CFC or PFIC, it may need to make adjustments. See *Line 13—Modified Adjusted Gross Income (MAGI)*, earlier.

Line 19b—Highest Tax Bracket for Estates and Trusts

The applicable threshold amount is the dollar amount at which the highest tax bracket under section 1(e) begins for the tax year, as adjusted for inflation. For tax year 2026, the threshold amount is $16,000. Enter that amount on line 19b.

For a QFT, see *Special computational rules for qualified funeral trusts (QFTs)*, earlier, to determine the amount to report on Form 8960, line 19b.

Line 21—Net Investment Income Tax for Estates and Trusts

- If you file Form 1041, include this amount on Form 1041, Schedule G, line 5. See the Instructions for Form 1041 for more information.
- If you file Form 1041-QFT, include this amount on Form 1041-QFT, line 15. See the Instructions for Form 1041-QFT for more information.

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